



Statement of Issues

4 July 2024

Stockland and Supalai – proposed acquisition of 12 residential masterplanned communities from Lendlease Group

Purpose

1. Stockland Supalai Residential Communities Partnership Pty Ltd (**SSRCP**) proposes to acquire 12 Lendlease Group (**Lendlease**) residential masterplanned communities (**MPC**) projects (the **proposed acquisition**). SSRCP is jointly owned by Stockland Communities Partnership HoldCo Pty Ltd (**Stockland**) (50.1%) and Supalai Australia Holdings Pty Limited (**Supalai**) (49.9%).
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the proposed acquisition,
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the proposed acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories: 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one 'issue of concern' and three 'issues that may raise concern', and three 'issues unlikely to raise concerns'.

Relationship between SSRCP, Stockland and Supalai

6. The ACCC's assessment of the likely competitive impacts of the proposed acquisition depends, in part, on the ownership arrangements in place for SSRCP, as well as Stockland and Supalai's various existing interests in MPC projects in the relevant markets.
7. Stockland holds a 50.1% interest in SSRCP. Therefore, under the proposed acquisition, Stockland would obtain a substantial economic interest in the revenues and profits of 12 MPC projects previously held by Lendlease. The ACCC is concerned that this direct economic interest would provide Stockland in particular with an increased incentive to raise the price, delay the supply or reduce the quality of MPC offerings from its own (fully-owned) MPC projects in the Illawarra, North West Perth, Ipswich and Moreton Bay regions. This is because, post-acquisition, Stockland would, to a certain extent, benefit from such actions through the resulting increase in demand for and price of SSRCP's MPC lots. Although Stockland (and other developers) may face financial incentives to develop and sell lots quickly to manage development and holding costs, if they can profitably raise the price of lots they are selling, they may nevertheless find it worthwhile to slow their pace of sales compared to what their sales would be in the absence of the proposed acquisition.
8. The ACCC also considers that Stockland is likely to have a high degree of influence over the strategic decisions of SSRCP in its capacity as a 50.1% co-owner of SSRCP. This influence is likely to include decisions on the timing of releases, pricing, and quality of MPC housing lots. The ACCC is concerned that Stockland would have incentives to exercise its ability to influence SSRCP's strategic decisions in a way that may further harm competition. This could include preventing or hindering SSRCP from competitively responding to an increase in the price or reduction in the supply or quality of MPC offerings from Stockland's own MPC projects. Such conduct could exacerbate the anticompetitive effects of Stockland increasing the price or reducing the supply or quality of MPC offerings from its own MPC projects.
9. Finally, the ACCC is concerned that the proposed acquisition may increase the likelihood of coordination between Stockland, Supalai, and in some cases, Supalai's MPC partners in relation to the pricing, supply and/or quality of MPC offerings. This is particularly a concern for the North West Perth region. As a result of the proposed acquisition, Stockland and Supalai would likely have increased opportunities to coordinate the pricing, supply or quality of MPC offerings from their individually and co-owned MPC projects in a way that could further worsen market outcomes.

Questions for market participants

The ACCC invites comments from developers, capital investors or landowners who have been in, or are currently in, partnerships or arrangements with developers. The ACCC is particularly interested in each of the Illawarra, North West Perth, Ipswich and Moreton Bay regions and invites developers, capital investors and landowners to comment on:

- the extent to which Stockland would have incentives to raise the price or reduce the supply or quality of its own MPC lots in any of the relevant regions as a result of the proposed acquisition,

- the extent to which Stockland would have incentives to influence SSRCP's strategic decisions (for example, by preventing or hindering SSRCP from competitively responding to Stockland's conduct at its own MPCs), and whether the joint ownership of SSRCP by Stockland and Supalai is likely to mitigate such concerns,
- the extent to which other commercial arrangements or incentives may influence the likelihood of Stockland reducing supply at its MPC projects in the relevant regions post-acquisition, including: (i) the internal rate of return or return on invested capital targets, (ii) shareholder expectations, or (iii) obligations to landowners under any applicable project delivery agreement, and
- whether the combination of Stockland's existing interests and the joint ownership of SSRCP by Stockland and Supalai is likely to increase the risk of coordination between Stockland, Supalai and/or Supalai's development partners.

Issue of concern

Illawarra

10. The proposed acquisition would bring together the two largest existing MPC housing lot offerings in an already highly concentrated Illawarra region with few alternative suppliers with comparable offerings to the parties.
11. The ACCC is concerned that this is likely to increase Stockland's incentive to raise the price or reduce the supply or quality of offerings from its Forest Reach MPC. These incentives would arise because Stockland would benefit from such actions to some extent through the resulting increase in the demand for and price of SSRCP's lots at its Calderwood Valley MPC project. In addition, the ACCC is concerned that Stockland would have incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding to Stockland's conduct in relation to Forest Reach through increases in the supply or quality of offering from SSRCP's Calderwood Valley MPC project.
12. The ACCC is also concerned that the proposed acquisition may increase the likelihood of coordination between Stockland and Supalai on the pricing, supply or quality of their overall holdings of MPC lots across both the Forest Reach and Calderwood Valley projects to increase their combined profits.

Issues that may raise concerns

North West Perth

13. The proposed acquisition of two Lendlease MPC projects (Alkimos Beach and Alkimos Vista) would bring together two of the developers with the largest MPC housing lot offerings in the North West Perth region, with alternate suppliers potentially not being able to sufficiently constrain Stockland.
14. The ACCC is concerned that the proposed acquisition may increase Stockland's incentives to raise the price or reduce the supply or quality of offerings from its own

MPC projects, while also increasing Stockland's incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding by increasing the supply or quality of lot releases from its own MPC projects, particularly Amberton Beach.

15. The ACCC is also concerned that the proposed acquisition may increase the likelihood of coordination between Stockland, Supalai and Peet Limited (**Peet**) on the pricing, supply or quality of their overall individually-owned and co-owned MPC offerings in the region to increase their combined profits (noting Peet is an existing development partner of Supalai in this region).

Ipswich

16. The proposed acquisition would bring together two of the developers with the largest MPC housing lot offerings in the Ipswich region (and the only two developers in Springfield specifically), with alternate developers potentially not being able to sufficiently constrain Stockland.
17. The ACCC is concerned that the proposed acquisition may increase Stockland's incentives to raise the price or reduce the supply or quality of offering from its own MPC projects, while also increasing Stockland's incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding by increasing the supply or quality of lot releases from its MPC projects.
18. The ACCC is also concerned that the proposed acquisition may increase the likelihood of coordination between Stockland and Supalai on the pricing, supply or quality of their overall holdings of lots to increase their combined profits.

Moreton Bay

19. The proposed acquisition would bring together two of the developers with the largest MPC housing offerings in the Moreton Bay region (Lendlease's Kinma Valley and Stockland's future Caboolture West project), with alternate developers potentially not being able to sufficiently constrain Stockland.
20. The ACCC is concerned that the proposed acquisition may increase Stockland's incentive to raise the price or reduce the supply or quality of lots from its own MPC projects, while also increasing Stockland's incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding by increasing the supply or quality of offering from its MPC projects.
21. The ACCC is also concerned that the proposed acquisition may increase the likelihood of coordination between Stockland and Supalai on the pricing, supply or quality of their overall holdings of lots to increase their combined profits.

Issues unlikely to raise concerns

22. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in the supply of residential MPC housing in 7 local areas (South-West Sydney, Redlands, Logan, Melton, Whittlesea, Casey/Cardinia, and Wyndham) because of a combination of one or more factors, including limited to no overlap between Stockland and/or Supalai and Lendlease,

sufficient alternative MPC developers to constrain Stockland and/or Supalai post-acquisition, and/or low combined market shares.

23. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in any market for the acquisition of land for residential development due to the existence of numerous competing large and small developers actively seeking new land holdings.
24. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in any market for the procurement of building and construction services for MPC developments because the parties do not account for a large portion of building and construction acquisitions.

Making a submission

25. The ACCC invites submissions from interested parties, particularly on the following key issues in relation to the supply of residential MPC housing in each of the Illawarra, North West Perth, Ipswich and Moreton Bay regions:
 - the closeness of competition between Stockland, Supalai and Lendlease's MPC projects, including in relation to quality, pricing, lot size and in the timing of lot releases, the extent to which other MPC developments compete with Stockland, Supalai and Lendlease's MPC projects, including on quality, pricing, lot size, and in the timing of lot releases,
 - the height of barriers and likelihood of new entry and/or expansion by alternative MPC developers, and
 - the extent to which investors with interests in MPC projects have access to pricing and lot release information, and the impact this may have on competition if an investor has interests in multiple MPC projects.
26. Interested parties should provide submissions by **5pm (AEST) on 18 July 2024**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: Stockland/Lendlease. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
27. The ACCC anticipates making a final decision on **12 September 2024**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

28. The ACCC will not publish submissions regarding the proposed acquisition. The ACCC will not disclose submissions to third parties (except its advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. The ACCC's [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

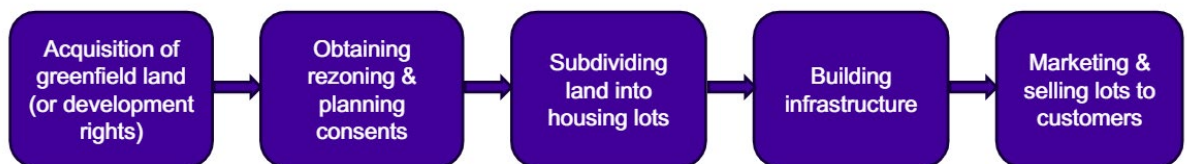
About ACCC 'Statements of Issues'

29. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
30. A Statement of Issues provides an opportunity for all interested parties (including purchasers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Industry background

31. MPC housing projects are residential developments on greenfield land which are typically delivered in phases over multiple years. They are characterised by access to amenities with a focus on 'community living', such as open spaces, recreational facilities, education and community hubs, as well as commercial or retail centres.

32. The development of MPC projects involve:



33. On a state and growth corridor basis, demand is driven by net immigration, population growth and net interstate and inter-region migration. Governments support the supply of new housing by making new land available for development. These new land parcels are typically situated in what is known as a 'growth corridor', where certain areas of a region are designated for economic growth and development.

The parties

The acquirer: SSRCP

34. **SSRCP** is a wholly owned subsidiary of SSRCP HoldCo Pty Ltd which is owned by Stockland (50.1%) and Supalai (49.9%). It is a special purpose acquisition vehicle for the proposed acquisition.

Stockland

35. Stockland is a wholly-owned subsidiary of Stockland Corporation Limited (together with its subsidiaries, **Stockland Group**). Stockland Group is an ASX-listed diversified Australian property group that owns, funds, develops and manages portfolios of investment properties including retail town centres, commercial properties, industrial and logistics properties, MPC projects and land lease communities. Stockland Group currently has interests in 30 MPC projects across NSW, ACT, Queensland, Victoria and Western Australia.

Supalai

36. Supalai is a wholly owned subsidiary of Supalai Public Company Limited, which is listed on the Stock Exchange of Thailand. Supalai Public Company Limited principally operates as a property developer. Supalai has investments in 10 MPC projects¹ in Victoria, Queensland and Western Australia through joint ventures with other developers, including Mirvac, Stockland, Satterley, Peet and ICD Property.

The target: Lendlease projects

37. Lendlease is an ASX-listed, global real estate business, which has core capabilities in real estate development, construction and investment management. Lendlease's MPC development business constitutes one of three residential portfolios currently operated by Lendlease: communities, apartments and retirement living. Lendlease's MPC development business (Lendlease Communities) comprises 16 MPC projects across NSW, Queensland, Victoria and Western Australia.²

The proposed acquisition

38. SSRCP proposes to acquire 12 of Lendlease's 16 residential MPC projects, located across greenfield growth areas within Greater Sydney, South East Queensland, Greater Melbourne, and Greater Perth.

Future with and without the acquisition

39. The test for assessing whether a proposed acquisition is likely to have the effect of substantially lessening competition requires a comparison between the nature and extent of competition in any market potentially affected by the acquisition in the 'future with' the acquisition and the 'future without' the acquisition.
40. The ACCC is considering whether the future without the acquisition would be materially different to the status quo where the relevant MPC projects are operated by an effective and independent competitor to Stockland and Supalai in the relevant markets. At this stage, the ACCC considers this unlikely and notes there are likely to be alternative purchaser(s) available for all or some of the relevant MPC projects.

¹ Supalai has interests in the following MPC projects: Arcadia (Cardinia, VIC), Gen Fyansford (Greater Geelong, VIC), Katalia (Whittlesea, VIC), Newhaven (Wyndham, VIC), Smiths Lane (Casey, VIC), True North (Hume-Craigieburn, VIC), Edens Crossing (Ipswich, QLD), Ridgeview (Brisbane North/Moreton Bay, QLD), Elavale (North-West Perth, WA), Seaside (Peel, WA).

² Lendlease has interests in the following MPC projects: Calderwood Valley (Illawarra, NSW), Figtree Hill (South-West Sydney, NSW), Jordan Springs (Penrith, NSW), Kings Central (Werrington, NSW), The New Rouse Hill (Greater Sydney, NSW), Kinma Valley (Moreton Bay, QLD), Shoreline (Redlands, QLD), Elliot Springs (Townsville, QLD), Springfield Rise (Ipswich, QLD), Yarrabilba (Logan, QLD), Atherstone (Melton, VIC), Aurora (Whittlesea, VIC), Awerley (Casey-Pakenham, VIC), Harpley (Wyndham, VIC), Alkimos Beach (Perth, WA), Alkimos Vista (Perth, WA).

Market definition

Product dimension

41. The ACCC's preliminary view is that the relevant product market is the supply of residential MPC housing.
42. The ACCC is continuing to consider the extent to which there may be substitution between residential MPC housing and other forms of housing, including established housing.
43. Established housing can comprise dwellings outside of MPC projects in nearby areas, and resales within MPC projects. These dwellings include detached houses, apartments and townhouses. The ACCC is particularly interested in substitution between MPC housing and detached established housing.
44. Apartments and townhouses are not generally considered viable alternatives for buyers of MPC housing who are generally seeking space for family living, including outdoor space. The pricing and availability of apartments and townhouses also do not appear to be factored into the pricing of MPC lots by developers.
45. There are often important differences in the amenities associated with MPC housing and established detached dwellings, for example with MPC projects often providing purchasers with greater access to community living and open spaces. Further, the ACCC understands that MPC housing is preferred by certain consumers who significantly value new-builds tailored to their preferences. There are also differences in the acquisition and delivery of the products, with MPC housing generally involving significantly longer lead times.
46. While established detached dwellings may be a substitute for residential MPC housing for some buyers, the supply of established detached dwellings at current prices is limited by the willingness of existing home-owners to sell and (typically) move. As such, if the price of MPC lots were to increase, there would be insufficient supply of established houses to allow such a price increase to be disciplined by buyers switching to established houses (and the increased demand for established houses would likely increase their price). Established housing is therefore unlikely to closely constrain nearby MPC residential lots and, in particular, the price of such properties.
47. The ACCC's preliminary view is that residential MPC developers compete most closely with other residential MPC developers, with established housing, including detached dwellings (as well as townhouses and apartments), unlikely to impose sufficient constraint on Stockland, SSRCP and/or Supalai to prevent the exercise of increased market power post-acquisition.

Geographic dimension

48. The ACCC has not formed a concluded view on the geographic dimensions of the relevant markets. The ACCC has concerns regarding Stockland's acquisition of an interest in certain Lendlease MPC projects in each of the Illawarra, North West Perth, Ipswich and Moreton Bay regions.

49. The ACCC is assessing the impact of competition in each region which broadly correlate to a growth corridor, but will have regard to local area considerations (such as the extent of supply, availability of competitive constraints and topography) which may change the relevant geographic boundaries of competition.
50. The ACCC is continuing to consider the relevant geographic boundaries for each of the Illawarra, North West Perth, Ipswich and Moreton Bay regions, and in particular, the distance from the Lendlease target MPC project(s) within which customers are likely to consider alternative MPC offerings.
51. Market feedback and the ACCC's inquiries to date suggests that most MPC purchasers reside within local areas of each target Lendlease MPC project, and that pricing is localised and may be benchmarked with regard to local factors, including the suburban catchment area of a region (which is generally between a 5-15km radius of a target MPC).
52. The ACCC's preliminary view is the relevant geographic boundaries are approximately as follows:
 - Illawarra: 15km from the relevant Lendlease MPC project
 - North West Perth: 5-15km from the relevant Lendlease MPC project(s)
 - Ipswich: 15km from the relevant Lendlease MPC project
 - Moreton Bay: 15km from the relevant Lendlease MPC project.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views about relevant markets. In particular, market participants may wish to comment on, and specify, for each of the Illawarra, North West Perth, Ipswich and Moreton Bay regions:

- The degree of constraint imposed by other forms of housing, including established detached housing, particularly in comparison to the constraint provided by MPC project(s), and
- The alternative MPC projects (including the distance (km) and/or adjacent suburbs) purchasers are likely to consider when enquiring about or purchasing lot(s) in MPC projects as alternatives to Stockland, Supalai and Lendlease projects.

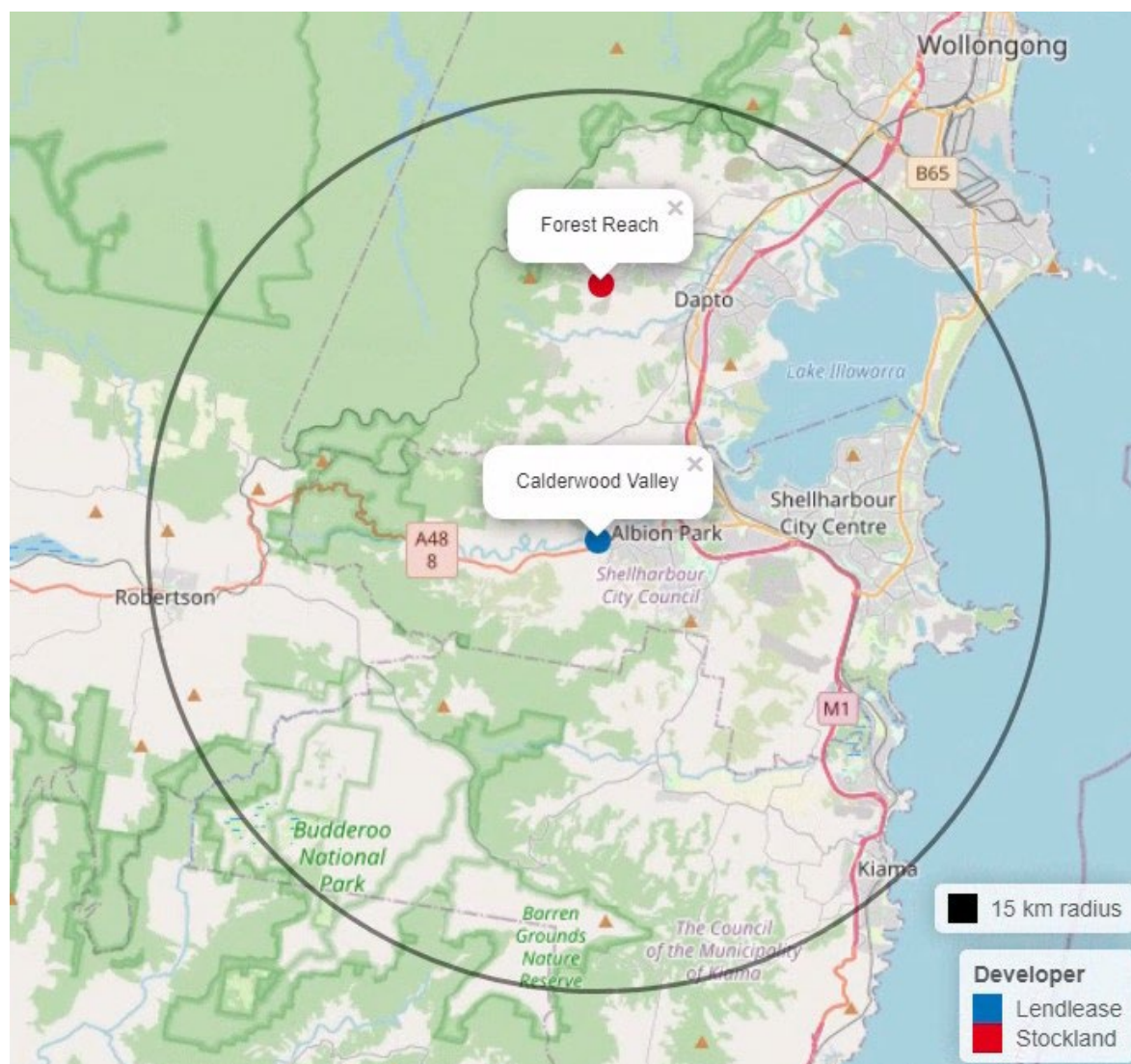
Issue of concern: reduction in competition in the supply of residential MPC housing in Illawarra

53. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition in the market for the supply of residential MPC housing in the Illawarra region. As outlined in further detail in the following sections, this is because:

- The proposed acquisition would bring together the two largest MPC housing lot offerings in an already highly concentrated market,
- This would increase Stockland's incentive to raise the price or reduce the supply or quality of lots from its Forest Reach MPC, while giving Stockland incentives to influence SSRCP's strategic decisions – for example, by preventing or hindering SSRCP from competitively responding to Stockland's conduct,
- Stockland and Lendlease compete closely on lot size, pricing, and amenity quality, and this competitive tension would be lost post-acquisition,
- there are insufficient alternative developers to meaningfully constrain or replace the competition likely lost by the proposed acquisition
- barriers to entry are high and new entry or expansion is unlikely to be timely or sufficient to strongly constrain Stockland and Supalai, and
- the joint venture between Stockland and Supalai increases the likelihood of coordinated conduct.

Bringing together the two largest MPC suppliers in Illawarra

54. In Illawarra, Stockland's MPC is Forest Reach and Lendlease's MPC is Calderwood Valley. Supalai does not have an existing MPC in Illawarra.
55. The ACCC is concerned that the proposed acquisition would bring together the two largest MPC housing lot offerings in an already highly concentrated market with few alternative developers with comparable offerings to the parties.



Note: This map is approximate only as ACCC has not had access to precise coordinates of the relevant MPC locations.

56. The ACCC has considered the supply of residential MPC housing based on the estimated number of remaining lots from existing and future MPC projects in Illawarra. This includes the estimated rate of lot releases at present, up to and including FY26.
57. The ACCC understands Stockland's Forest Reach and Lendlease's Calderwood Valley are the two largest MPC projects in Illawarra currently in terms of overall remaining housing lots and are likely to also be the largest suppliers of MPC housing lots over at least FY24-26. Further, the market share of each alternative supplier post-acquisition is anticipated to substantially less than the market share of Stockland and SSRCP.

Stockland and Lendlease are currently close competitors in Illawarra

58. The ACCC is concerned the proposed acquisition would remove Lendlease as Stockland's closest and largest competitor in the Illawarra region.
59. Stockland and Lendlease appear to compete closely in the supply of residential MPC housing in Illawarra. Stockland's MPC project in Huntley (Forest Reach) and Lendlease's MPC project in Calderwood (Calderwood Valley) are geographically close (within ~7 km) and are both similarly located near Wollongong CBD, being approximately 22-minute and 25-minute drives respectively.
60. The ACCC's inquiries to date indicate Stockland and Lendlease provide a similar MPC offering and compete closely by offering a similar price point and similar range of lot sizes, with Stockland's Forest Reach lot sizes ranging from 300m²-540m², and Lendlease's Calderwood Valley lot sizes ranging from 255m²-520m².
61. The ACCC understands Stockland and Lendlease also compete closely on brand reputation and quality as large, well-known developers with an established track record. This includes both parties having the requisite finance and expertise to invest in MPC projects of a size that allow for the provision of high-quality amenities, including community parks, village centres, schools, and landscaping.
62. Market feedback further indicates Stockland and Lendlease compete for and attract a similar customer demographic including families and first-home buyers, particularly as both parties have a strong community offering and affordable price-point range.
63. The ACCC's preliminary view is Stockland and Lendlease compete closely in Illawarra, and the proposed acquisition would remove Lendlease as an independent competitor to and constraint on Stockland's Forest Reach development.

Significant loss of competitive constraint

64. The ACCC is concerned that the proposed acquisition would increase Stockland's incentive to increase the price or reduce the supply or quality of lots from its existing MPC holding (Forest Reach). These incentives would arise because Stockland would benefit from such actions to some extent, through the resulting increase in the demand for and price of SSRCP's lots at the Calderwood Valley MPC project. The ACCC is concerned that an increase in price or a reduction in the supply or quality of Stockland's MPC lots would have the likely effect of a general increase in prices and/or lower quality lots for MPC residential housing in the Illawarra region.

65. In addition, the ACCC is concerned that Stockland would have the ability to influence SSRCP's strategic decisions in a way that may further harm competition. This could include preventing or hindering SSRCP from competitively responding to Stockland's conduct in relation to its Forest Reach MPC project through increases in the supply or quality of lots from SSRCP's Calderwood Valley MPC project. This could exacerbate the anticompetitive effects of Stockland increasing the price or reducing the supply or quality of lots from its Forest Reach project.
66. The ACCC is continuing to consider the extent to which Stockland and Supalai's joint ownership of SSRCP potentially mitigates these concerns by constraining Stockland's ability to hinder SSRCP's competitive conduct post-acquisition. Similarly, the ACCC is continuing to consider the potential impact of project delivery agreements in Illawarra, noting that the target Lendlease project may be developed under such arrangements.
67. The ACCC's preliminary view, however, is that the proposed acquisition is likely to involve a significant loss of competitive constraint, leading to higher prices and/or lower quality in the supply of MPC lots in the Illawarra region.

Alternative MPC developers are unlikely to provide significant constraint in Illawarra

68. The ACCC is continuing to consider the extent to which alternative MPC developers in the Illawarra region would likely constrain Stockland and SSRCP post-acquisition. The ACCC is aware of seven existing alternative developers supplying residential MPC housing in Illawarra, and four potential future developers. A number of these alternative MPC projects are closer to the parties' sites, with Lendlease's Calderwood Valley being closer to Allam Property's Ravenswood project (1.3 km away) and Clover Hill Estate's Clover Hill project (0.25 km away), and Stockland's Forest Reach being closer to Sheargold's Vista Park project (2.8 km away).
69. However, the ACCC understands that existing alternative MPC developers in the Illawarra region may have limited remaining lots and a limited number of annual lot releases over at least FY24-26 as compared to the lots associated with the Stockland and target Lendlease site. The ACCC is also concerned that these alternative providers may be more limited in their ability to provide high-quality amenities and/or deliver infrastructure given the size of their land holdings.
70. Market feedback generally indicates that smaller MPC developers do not compete as closely with Stockland and Lendlease on brand reputation, and do not invest in comparable high-quality amenities. Additionally, the ACCC considers that some MPC projects in the Illawarra region are unlikely to be close substitutes to the parties given these alternatives may have highly differentiated offerings – for example, a premium location, high price point, and distinct product type (for example, supplying apartments instead of houses). The ACCC is therefore concerned that there are insufficient alternatives available to purchasers in Illawarra.
71. The ACCC understand there is a potential future development in Dapto by Cavi Property. The ACCC is seeking to understand the extent to which this development may be an alternative to the Calderwood Valley and Forest Reach projects for purchasers, and the timing for the Dapto development to occur.

72. The ACCC's preliminary view is that alternative projects are unlikely to provide a sufficient degree of constraint on Stockland and SSRCP's projects post-acquisition in the Illawarra region given these alternative projects are limited in number and their capacity to supply lots is limited. They also do not appear to be a close substitute in terms of the product being offered and the quality of amenities. Further, alternative developers do not appear to collectively be large or numerous enough to effectively constrain Stockland's incentive to reduce or slow the supply of lots from its own MPC post-acquisition.

New entry or expansion is unlikely to be timely or sufficient

73. The ACCC is considering whether new entry or expansion would be likely, timely, and sufficient to prevent a substantial lessening of competition that might otherwise result from the proposed acquisition.
74. Market feedback indicates barriers to entry and expansion in the supply of residential MPC housing in the Illawarra region are likely to be high and include:
- delays and difficulties obtaining rezoning approvals from local council,
 - limited availability of suitable land and challenging topography due to Illawarra's escarpment,
 - delays in the availability of essential infrastructure, including sewer, power services, and water (for example, market feedback has indicated sewage infrastructure is unlikely to be delivered over the short-medium term), and
 - there are likely to be high capital costs to develop MPC projects of a sufficient scale to provide for comparable levels of amenity.
75. At this stage, the ACCC considers that barriers to entry and expansion in the Illawarra region are high, particularly given the limited availability of suitable land for development opportunities of a comparable scale and amenity level, and delays in the delivery of essential infrastructure. The ACCC's preliminary view is that the threat of new entry or expansion on a scale and of a type sufficient to constrain Stockland and SSRCP in Illawarra post-acquisition is unlikely.

Increased likelihood of coordinated effects

76. The ACCC is considering whether post-acquisition, Stockland and Supalai may have an increased opportunity and incentive to coordinate on the pricing, supply or quality of their MPC offerings across both the Forest Reach and Calderwood Valley projects to increase their combined profits. The ACCC is concerned that post-acquisition, Stockland and Supalai may have an increased opportunity and incentive to coordinate because:
- post-acquisition, SSRCP and Stockland would collectively have a high market share in the Illawarra region,

- there are few alternative MPC projects, and those which do exist are unlikely to have the capacity to respond meaningfully to a reduction in supply or increase in price by Stockland and SSRCP,
 - the joint venture provides opportunities for Stockland and Supalai to communicate pricing and supply intentions both at Forest Reach and Calderwood Valley, and through that come to an implicit mutual understanding as to expected future lot releases and pricing at both MPC projects. This could involve SSRCP raising the price, or reducing the supply or quality of lot releases at its Calderwood Valley MPC in expectation of Stockland raising the price, or reducing the supply or quality of lot releases at its Forest Reach MPC, and
 - there is a high level of transparency over the pricing and supply of MPC lots, such that the parties can monitor adherence to or deviations from any implicitly agreed conduct. This transparency also enables the parties to respond to any deviations by the other party through strategic ‘punishments’, which may simply involve a return to competitive conduct in the release and pricing of remaining lots. This may contribute to an environment conducive to maintaining any coordination.
77. The ACCC is concerned that any such coordination could result in higher prices and/or lower quality for purchasers of MPC lots in Illawarra.

Questions for market participants

The ACCC invites comments from market participants regarding the supply of residential MPC housing in the Illawarra region. In particular, market participants may wish to comment on the following:

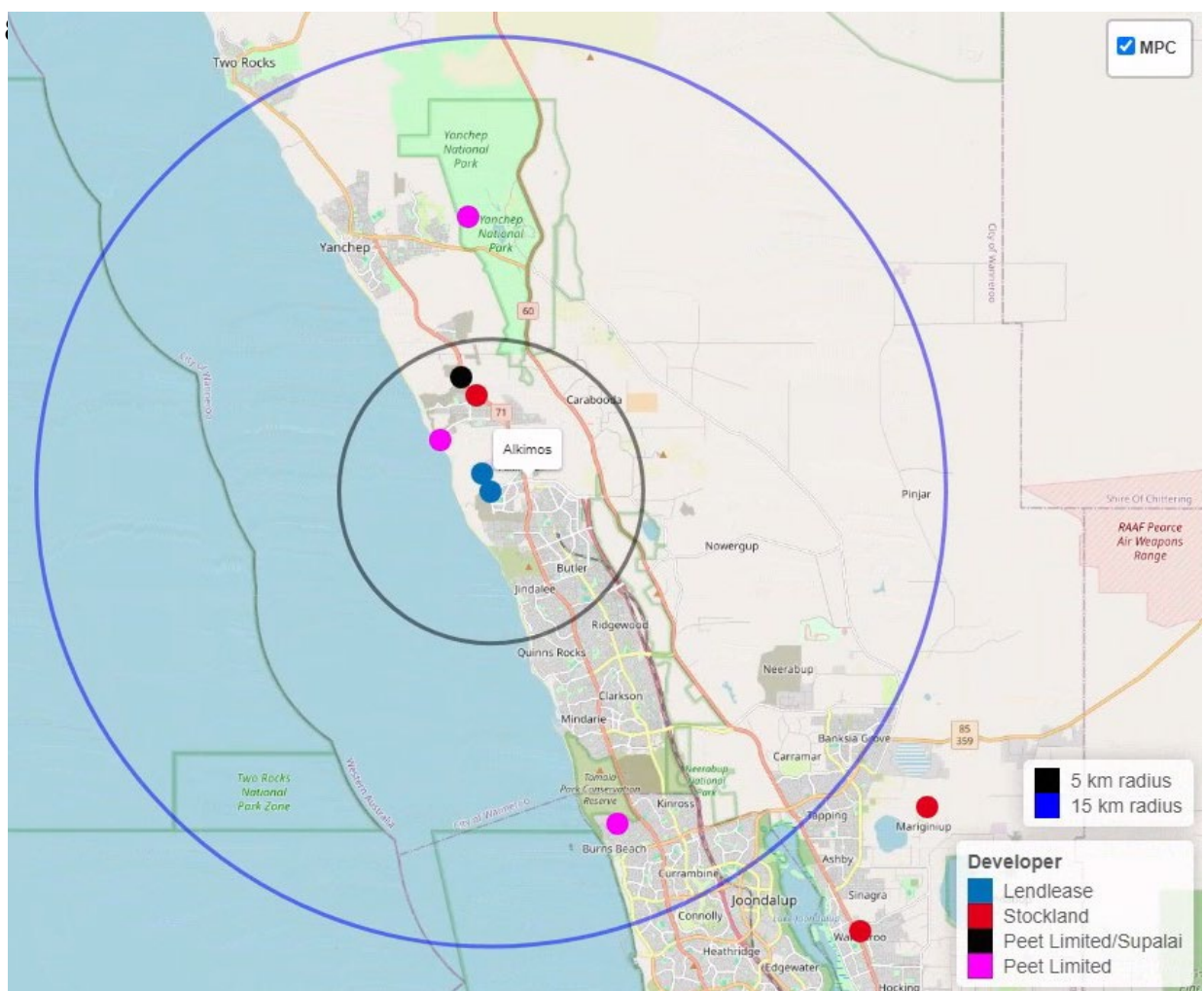
- how closely Stockland and Lendlease compete, including on factors such as timing, lot size, pricing, customer demographics, and quality,
- the degree of the competitive constraint provided by existing and upcoming alternative MPC projects in Illawarra, including factors such as timing, lot size, pricing, customer demographics, and quality, and
- the height of barriers to timely entry and expansion for MPC developers in Illawarra and the likelihood and timing of new entry/expansion.

Issue that may raise concern: reduction in competition in the supply of residential MPC housing in North-West Perth

78. The ACCC's preliminary view is that the proposed acquisition may be likely to have the effect of substantially lessening competition in the market for the supply of residential MPC housing in the North-West Perth region.

Bringing together the two largest MPC suppliers in North West Perth

79. The ACCC has considered the supply of residential MPC housing based on the estimated number of remaining lots (available for release) for existing and future MPC development projects in North West Perth. The ACCC has also considered the anticipated lot releases over FY24-26.



Note: This map is approximate only as ACCC has not had access to precise coordinates of the relevant MPC locations.



Note: This map is approximate only as ACCC has not had access to precise coordinates of the relevant MPC locations.

Stockland and Lendlease are currently close competitors in North West Perth

81. The ACCC is concerned that the proposed acquisition would remove the Lendlease projects as an independent competitor to Stockland in North West Perth.
82. The ACCC currently considers that MPC developments in North West Perth consist broadly of three local catchment areas, constituting Alkimos, Yanchep and Joondalup/Wanneroo (including Mariginiup).
83. Market feedback indicates that Alkimos may be a separate growth area to Yanchep and Joondalup/Wanneroo (including Mariginiup), and that developers closely monitor, compare and price benchmark competing MPC projects within the local catchment area of Alkimos. Alkimos is a coastal suburb of North West Perth, approximately 42km north-west of Perth CBD, with beach access arising from close proximity to Alkimos Beach and Amberton Beach as well as natural landscapes.

84. In the Alkimos area, Stockland's MPC project (Amberton Beach) is located within a 5km radius of Lendlease's two MPC projects (Alkimos Beach and Alkimos Vista). The Elavale MPC project (which Supalai has an interest in) is also located within 3-5km of Lendlease's MPC projects.
85. The ACCC notes that Stockland and Supalai's MPC projects appear to compete closely with Lendlease's MPC projects by offering similar-sized lots (~362-375sqm per lot), access to key amenities and infrastructure (access to beach, schools and open space) and may have comparable pricing on lots.
86. Stockland's Illyarrie project in Wanneroo is located approximately 18-20km from Lendlease's projects in Alkimos, with smaller 330sqm sized lots and access to open space and schools. While Lake Joondalup is nearby and offers lake views, the ACCC considers this is distinct from the 'beachside offering' in Alkimos. This is supported by market feedback and the ACCC's inquiries to date which suggests that Wanneroo may be a different growth area to Alkimos and therefore projects in that growth area do not compete closely with Lendlease's MPC projects in Alkimos.
87. Stockland's Mariginiup MPC project is a future development located approximately 17-19km from Lendlease's projects in Alkimos. Mariginiup is a further 5km north of Illyarrie. While the lot sizes are similar (375sqm), the area appears to provide an 'inland suburbia' offering, with no beach access. This is similarly supported by market feedback and the ACCC inquiries to date which suggests that Mariginiup may be a different growth area to Alkimos and therefore projects in Mariginiup do not compete closely with Lendlease's MPC projects in Alkimos.

Significant loss of competitive constraint

88. The ACCC is concerned that the proposed acquisition may increase Stockland's incentive to increase the price or reduce the supply or quality of lots from its Amberton Beach MPC and its other MPC projects in the region. This is because Stockland would, to a certain extent, directly benefit from such actions through the resulting increase in the demand for and price of SSRCP's lots at the Alkimos Beach and Alkimos Vista MPC projects, which are within a 5km radius of Stockland's existing Amberton Beach project.
89. The ACCC is concerned that an increase in the price or reduction in the supply or quality of lots from Stockland's MPC projects may have the effect of generally higher prices and/or lower quality for MPC residential housing in North West Perth, particularly around Alkimos.
90. In addition, the ACCC is concerned that Stockland would be able to influence SSRCP's strategic decisions in a way that may further harm competition. This influence could enable Stockland to prevent or hinder SSRCP from competitively responding to Stockland's conduct by increasing the supply or quality of lots from SSRCP's Alkimos Beach and Alkimos Vista MPC projects. This influence over strategic decisions could exacerbate the anticompetitive effects of Stockland increasing the price or reducing the supply or quality of lots from its Amberton Beach project.

91. The ACCC is continuing to consider the extent to which Supalai's joint ownership of SSRCP potentially mitigates these concerns by constraining Stockland's ability to hinder SSRCP's competitive conduct post-acquisition. Similarly, the ACCC is continuing considering the potential impact of project delivery agreements in North West Perth, noting that the target Lendlease projects are being developed in partnership with DevelopmentWA.
92. The ACCC's preliminary view, however, is that the proposed acquisition is likely to involve a significant loss of competitive constraint, leading to higher prices and/or lower quality in the supply of MPC lots in North West Perth, particularly around Alkimos.

Alternative developers may not provide significant constraint

93. The ACCC's preliminary view is that MPC projects in Joondalup/Wanneroo (including Mariginiup) do not provide purchasers with comparable offerings to Stockland and Lendlease projects in Alkimos, as they are located approximately 15-20km away and may provide access to different amenities and value propositions, as distinct from the 'beachside offering' supplied by Stockland and Lendlease in Alkimos.
94. Market feedback and the ACCC's inquiries indicate that developers may monitor competing developments within a 5km radius, and therefore that alternative developers outside of Alkimos may not provide a comparable offering.
95. The ACCC recognises there are alternative developers that hold large existing MPC projects in Alkimos – including Satterley's Eden Beach (1-4km away), LWP's Trinity (1-3km away), Satterley's Allara (3-6km away) and Cedar Wood's Eglinton Village (4-6km away). However, the ACCC is concerned that lot releases for each of the projects at least up to and including FY26 and potentially beyond may not effectively constrain Stockland post-acquisition.
96. Further, while there are other alternative MPC developments in North West Perth, the ACCC is concerned these may not be comparable offerings to Stockland and Lendlease's projects. In addition, the ACCC understands there are significant differences between MPC offerings in Alkimos and other areas of North West Perth, with MPC projects in Alkimos commanding a price premium as compared to MPC projects in other areas including Yanchep due to Alkimos' proximity to the beach, city and social amenities including retail and medical facilities.
97. Our preliminary view is that alternative developers in Alkimos may not effectively constrain Stockland and Supalai post-acquisition, particularly up to and including FY26 and potentially beyond.

New entry or expansion is unlikely to be timely or sufficient

98. The ACCC is considering whether new entry or expansion would be likely, timely, and sufficient to prevent a substantial lessening of competition that might otherwise result from the proposed acquisition.

99. The ACCC considers that the barriers to timely entry and expansion in the supply of residential MPC housing in the North West Perth market may be high given the following factors:
- there may be a lack of suitable land available
 - there are likely to be high capital costs to develop MPC projects of a sufficient scale to provide for comparable levels of amenity and
 - there may be long lead times and infrastructure requirements affecting existing and future lot releases.
100. The ACCC's preliminary view is that the threat of new and timely entry or expansion on a scale and of a type sufficient to constraint Stockland and Supalai post-acquisition may be unlikely.

Increased likelihood of co-ordinated effects

101. The ACCC is considering whether the proposed acquisition increases the likelihood of coordination between Stockland, Supalai and Peet on the pricing, supply or quality of their MPC lots to increase their combined profits.
102. In North West Perth, Supalai has an interest in a joint venture in the Elavale MPC project (in respect of which Peet Limited is also a development partner), which is 3-5km from the Lendlease target MPC projects. Peet Limited also operates three other MPC projects in North West Perth – Shorehaven, Yanchep Golf Estate and Burns Beach, respectively located 0-3km, 6-9km and 12-14km from the Lendlease target MPC projects. The ACCC is considering the extent to which the proposed acquisition by SSRCP would result in an increased risk of coordination in the pricing, supply or quality of MPC lots, taking into account these existing interests.
103. Co-ordination undermines competitive activity, and the proposed acquisition may have the likely effect of substantially lessening competition in North West Perth, and in particular in Alkimos, if it incentivises co-ordination between Supalai and its joint venture partners.
104. Specifically, the ACCC is concerned that the SSRCP joint venture provides opportunities for Stockland and Supalai to communicate pricing and supply intentions at both Stockland's and SSRCP's MPC projects, and through that may come to an implicit mutual understanding as to expected future lot release and pricing conduct at both their MPC projects. Such conduct could involve SSRCP raising the price, or reducing the supply or quality of lot releases at its MPC projects in expectation of Stockland reducing or slowing lot releases at its MPC projects.
105. Further, the ACCC is concerned that any coordination between Supalai and Stockland through SSRCP could flow on to Supalai's relationship with Peet through their Elavale joint venture MPC and from there extend to Peet's own MPC projects at Shorehaven, Yanchep Golf Estate and Burns Beach. The proposed acquisition may increase the risk that Stockland, Supalai and Peet act in accordance with an implicit mutual understanding to raise prices, restrict supply, or lower quality across all the MPC projects in which they hold interests.

106. As set out above in paragraph 76, there is a high level of transparency over the pricing and supply of MPC lots, such that the developers could monitor adherence to or deviations from implicitly agreed conduct and respond by 'punishing' any deviations.

Questions for market participants

The ACCC invites comments from market participants regarding the supply of residential MPC housing in the North West Perth region. In particular, market participants may wish to comment on the following:

- How closely Stockland and Lendlease compete, including on factors such as timing, lot size, pricing, customer demographics and quality,
- The degree of competitive constraint provided by existing and upcoming alternative MPC projects in North West Perth, including on factors such as timing, lot size, pricing, customer demographics and quality,
- The height of the barriers to timely entry and expansion for MPC developers in Ipswich and the likelihood and timing of new entry or expansion, and
- Whether Supalai's interests in the Elavale MPC project is likely to increase the risk of co-ordination involving Peet.

Issue that may raise concern: reduction in competition in the supply of residential MPC housing in Ipswich

107. The ACCC's preliminary view is that the proposed acquisition may be likely to have the effect of substantially lessening competition in the market for the supply of residential MPC housing in Ipswich.

Bringing together the two largest MPC suppliers in Ipswich

108. The ACCC understands Stockland is the largest developer in Ipswich in terms of remaining supply of housing lots across its Kalina and Providence MPC projects, and future Botanica development. Post-acquisition, Stockland would, via SSRCP, acquire Lendlease's Springfield Rise project, which is the largest and most established MPC in the region.



Note: This map is approximate only as ACCC has not had access to precise coordinates of the relevant MPC locations.

Stockland and Lendlease are currently close competitors

109. The ACCC is concerned that the proposed acquisition would remove Lendlease as an independent competitor to Stockland.
110. In Ipswich, Stockland's Kalina and Providence MPC projects are located 4.4km and 7.7km respectively from Lendlease's Springfield Rise project. Stockland's Botanica is further west from Lendlease's Springfield Rise Project (11.9km away), however each of these projects are approximately 40 minutes' drive from Brisbane CBD.
111. In Springfield specifically, Stockland's Kalina and Lendlease's Springfield Rise are the only existing MPC projects available to purchasers. The ACCC understands this is unlikely to change as Stockland and Lendlease have long-standing agreements in place with the landowners in Springfield. The ACCC considers that Stockland's Kalina may compete closely with Springfield Rise by offering similar sized lots (approximately 375-409sqm) and similar access to amenities and infrastructure (approximately 6-7 minutes' drive to Springfield Central train station).

112. Market feedback indicates the target customer demographic is likely to be similar in targeting first-home buyers, who are attracted to affordable offerings and access to amenities.
113. The ACCC's preliminary view is that Stockland and Lendlease compete closely, and that Lendlease's Springfield Rise project provides significant constraint on Stockland through its project maturity, pricing, lot size and amenity quality. The ACCC is concerned that there may be a loss of competition post-acquisition through the removal of Lendlease as a close and vigorous competitor to Stockland.

Significant loss in competitive constraint

114. The ACCC is concerned that the proposed acquisition may increase Stockland's incentive to increase the price, or reduce the supply or quality of lots, from its existing Kalina and Providence MPC projects, and its future Botanica project. This is because Stockland would, to a certain extent, benefit from such actions due to the resulting increase in the demand for and price of SSRCP's Springfield Rise lots. Post-acquisition, the ACCC is concerned that an increase in price, or a reduction in the supply or quality of Stockland's MPC lots may increase prices and/or lower quality more generally for MPC residential housing in Ipswich.
115. In addition, the ACCC is concerned that Stockland would be able to influence SSRCP's strategic decisions in a way that may further harm competition. This could include preventing or hindering SSRCP from competitively responding to Stockland's conduct by increasing the supply or quality of lots from SSRCP's Springfield Rise project. Stockland's influence over strategic decisions at SSRCP could exacerbate the anticompetitive effects of Stockland increasing the price or reducing the supply or quality of lots from its own MPC projects.
116. The ACCC is continuing to consider the extent to which Supalai's joint ownership of SSRCP potentially mitigates competition concerns by constraining Stockland's ability to hinder SSRCP's competitive conduct post-acquisition. Similarly, the ACCC is continuing to consider the potential impact of project delivery agreements in Ipswich, noting that the target Lendlease projects are being developed in partnership with Springfield City Group.
117. The ACCC's preliminary view, however, is that the proposed acquisition may involve a significant loss of competitive constraint, leading to higher prices and/or lower quality in the supply of MPC lots in the Ipswich region.

Alternative developers may not provide significant constraint

118. The ACCC is continuing to consider the extent to which alternative MPC developers in Ipswich will constrain Stockland and SSRCP post-acquisition.
119. The ACCC is aware that there are several alternative MPC projects in the Ipswich region, including Intrapac's White Rock (4.8km away), SIG Group's Amory (9km away), Goldfields Property Group's Hayfield (10.1km away), Satterley Property Group's Ripley Valley (10.2km away) and HB Land's Bellevue (11.4km away).
120. In Springfield, where Stockland and Lendlease have MPC projects, the ACCC understands that there are no other current MPC projects available, with a future

Springfield development (Cherish Enterprises) expected to commence lot releases over the medium term. However, the ACCC understands that Stockland may have commercial arrangements with Cherish Enterprises, including pre-emptive rights to buy and develop some, or all, of Cherish Enterprises' land holdings in Springfield.

121. The ACCC is concerned that alternative MPC projects may not effectively constrain Stockland and SSRCP post-acquisition due to potential differences in their MPC offerings. The ACCC is continuing to consider the extent to which MPC developments outside of Springfield are substitutes for consumers (i.e., the distance from Springfield Rise in which consumers are likely to consider alternative MPC projects).

New entry or expansion is unlikely to be timely or sufficient

122. The ACCC understands from market feedback and its inquiries that the supply of residential MPC housing in Ipswich is impacted by the following factors:
- increased environmental scrutiny, particularly due to koala conservation and vegetation management in Ipswich (including compliance with the *Environment Protection and Biodiversity Conservation Act 1999*),
 - there may be a lack of suitable land available,
 - delays and difficulties obtaining rezoning approvals from local council, and
 - there are likely to be high capital costs to develop MPC projects of a sufficient scale to offer comparable levels of amenity.
123. The ACCC's preliminary view is that barriers to entry and expansion in Ipswich may be high and that the threat of new entry or expansion in a timely manner, and of a scale or quality sufficient to constrain Stockland and SSRCP post-acquisition may be unlikely.

Increased likelihood of co-ordinated effects

124. The ACCC is considering whether post-acquisition, Stockland and Supalai may have an increased opportunity and incentive to co-ordinate on the pricing, supply, and quality of their overall lots at Springfield Rise and Stockland's existing and future MPC projects to increase their combined profits. The ACCC is concerned that any such coordination could result in higher prices and/or lower quality for purchasers of MPC lots in Ipswich.

Questions for market participants

The ACCC invites comments from market participants regarding the supply of residential MPC housing in the Ipswich region. In particular, market participants may wish to comment on the following:

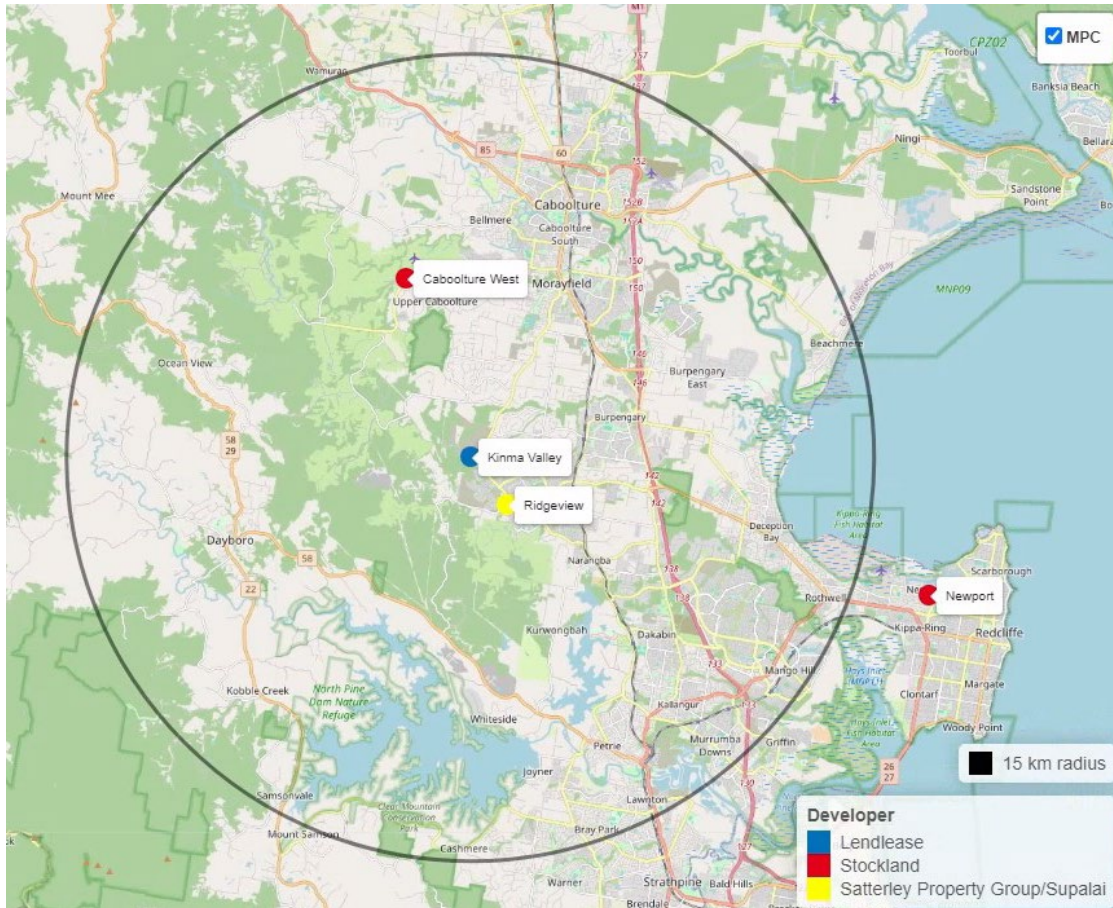
- How closely Stockland's MPC projects and Lendlease's Springfield Rise project compete, including on factors such as timing, lot size, pricing, customer demographics and quality,
- The degree of competitive constraint provided by existing and upcoming alternative MPC projects, including on factors such as timing, lot size, pricing, customer demographics and quality, and
- The height of the barriers to timely entry and expansion for MPC developers in Ipswich and the likelihood and timing of new entry or expansion.

Issue that may raise concern: reduction in competition in the supply of residential MPC housing in Moreton Bay

125. The ACCC's preliminary view is that the proposed acquisition may be likely to have the effect of substantially lessening competition in the supply of residential MPC housing in Moreton Bay.

Bringing together the two largest MPC suppliers in Moreton Bay

126. The ACCC understands Lendlease's newly commenced Kinma Valley project is the largest existing MPC development in Moreton Bay based on estimated remaining lots. Stockland is developing two projects in the region - its existing Newport MPC project and a Caboolture West MPC project that is yet to begin to release lots. The ACCC understands Caboolture West may be the second largest MPC project after Kinma Valley based on estimated remaining lots. Supalai is also present in the region with an interest in the Ridgeview MPC project (in respect of which the Satterley Property Group is also a development partner).



Note: This map is approximate only as ACCC has not had access to precise coordinates of the relevant MPC locations.

Stockland's Caboolture West and Lendlease's Kinma Valley projects are likely to be close competitors

127. The ACCC's preliminary view is that Lendlease's Kinma Valley MPC is unlikely to compete closely with Stockland's Newport MPC as market feedback indicates the projects have different target demographics, with Newport providing a waterfront location with a premium offering, as distinct from Kinma Valley that provides a more affordable price point and appeals to families.
128. The ACCC understands that Kinma Valley is more likely to compete with proximate MPC projects located in suburbs with similar topography, such as Morayfield, Narangba, Burpengary East, and Upper Caboolture, which are within a 15km radius. The ACCC is concerned that the proposed acquisition may remove future competition between Stockland's future Caboolture West project and Lendlease's Kinma Valley (7.2km away). While market feedback indicates Caboolture West may be impacted by delays with infrastructure and approvals, the ACCC expects Stockland and Lendlease are likely to compete closely once Caboolture West begins releasing lots as they are large developers capable of providing affordable lots and high-quality amenities, including community spaces and schools that appeal to similar customer segments.

129. The ACCC considers Ridgeview and Kinma Valley may compete closely given their proximity (2km away), similar sized lots (396 and 405sqm), and amenities (open space, schools and connections to trains). However, the ACCC understands that Ridgeview is nearing completion so may only compete with Kinma Valley in the short term.

Significant loss of competitive constraint

130. The ACCC is concerned that the proposed acquisition may increase Stockland's incentive to increase the price or reduce the supply or quality of lots from its future MPC project in Caboolture West. This is because Stockland would, to a certain extent, benefit from such actions due to the resulting increase in the demand for, and price of, SSRCP's Kinma Valley lots. Post-acquisition, the ACCC is concerned that a reduction in the supply or quality of Stockland's MPC lots may increase prices and/or lower quality for MPC residential housing more generally in Moreton Bay.
131. In addition, the ACCC is concerned that Stockland would be able to influence SSRCP's strategic decisions in a way that may further harm competition. For example, Stockland could prevent or hinder SSRCP from responding competitively to Stockland's conduct in relation to its Caboolture West MPC project. This could include Stockland seeking to block increases in the supply or quality of lots from SSRCP's Kinma Valley project. Stockland's influence over strategic decisions at SSRCP could exacerbate the anticompetitive effects of Stockland increasing the price or reducing the supply or quality of lots at its Caboolture West project.
132. The ACCC is continuing to consider the extent to which Supalai's joint ownership of SSRCP potentially mitigates competition concerns by constraining Stockland's ability to hinder SSRCP's competitive conduct post-acquisition.
133. The ACCC's preliminary view, however, is that the proposed acquisition may involve a significant loss of competitive constraint, leading to higher prices and/or lower quality in the supply of MPC lots in Moreton Bay.

Alternative developers may not provide significant constraint

134. The ACCC is concerned that alternative MPC projects in the Moreton Bay region may not provide a sufficient constraint on Stockland post-acquisition as they are predominantly small to mid-tier developments that may not provide the same level of amenity or overall quality as Kinma Valley and Caboolture West, which may be strongly valued by certain customer demographics.
135. The ACCC understands that land holdings in Moreton Bay are relatively fragmented, and for this reason the market is characterised by many small to mid-tier MPC developers and projects. The ACCC recognises there are numerous alternative MPC projects within a 15km radius of Lendlease's Kinma Valley project, including Oxmar Properties' Narangba Heights (1km away), Trask Development Corporation's Affinity (3.7km away), Cedar Woods' Sage (4.5km away), Orchard Property Group's Narangba (4.9km away), Dahua's Amity (5.4km away), Lennium Group's Lilywood Landings (7.3km away), Peet Limited's Riverbank (9.1km away), Port Binnli's North Harbour (9.2km away) and Qm Properties' Central Springs (11.2km away).

136. However, the ACCC concerned that at least some of these developments may not compete closely with the parties on reputation and may not be sufficiently large to offer access to high quality amenities (such as open space and infrastructure) provided by Stockland and Lendlease as large developers.
137. The ACCC understand there are potential future developments in Moreton Bay, including Pine Valley North by Tosh Murphy, a development at Elimbah by unknown developers and several smaller developments in the Upper Caboolture area. The ACCC is seeking to understand the extent to which these developments may be alternatives to the Kinma Valley and Caboolture West projects for consumers, and the timing for this to occur.

New entry or expansion is unlikely to be timely or sufficient

138. The ACCC's inquiries indicates that barriers to timely entry and expansion in Moreton Bay are likely to be relatively high and include:
- increased environmental scrutiny, including flooding, koala, and vegetation approvals
 - there are likely to be high capital costs to develop MPC projects of a sufficient scale to provide for comparable levels of amenity,
 - limited land suitable for large scale development, and
 - long lead times for development approvals and the delivery of essential services.

Increased likelihood of coordinated effects

139. The ACCC is considering whether, post-acquisition, Stockland and Supalai may have an increased opportunity and incentive to co-ordinate on the pricing, supply, or quality of their overall lots at Kinma Valley and Caboolture West to increase their combined profits. The ACCC is concerned that any such coordination could result in higher prices and/or lower quality for purchasers of MPC lots in Moreton Bay.

Questions for market participants

The ACCC invites comments from market participants regarding the supply of residential MPC housing in the Moreton Bay region. In particular, market participants may wish to comment on the following:

- How closely Stockland's Caboolture West and Lendlease's Kinma Valley MPC projects compete, including on factors such as timing, lot size, pricing, customer demographics and quality of amenities,
- The height of the barriers to timely entry and expansion for MPC developers in Ipswich and the likelihood and timing of new entry or expansion
- The degree of competitive constraint provided by existing and upcoming alternative MPC projects in Moreton Bay, including factors such as timing, lot size, pricing, customer demographics and quality.

Issue unlikely to raise concerns: reduction in competition in the supply of residential MPC housing in 7 local areas

140. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in the other geographic areas in which the Lendlease target MPC projects are located, including the supply of residential MPC housing in the following 7 local areas:³
- South-West Sydney, NSW
 - Redlands, QLD
 - Logan, QLD
 - Melton, VIC
 - Whittlesea, VIC
 - Casey/Cardinia, VIC
 - Wyndham, VIC
141. Market participants have largely not identified concerns with the proposed acquisition in relation to the supply of residential MPC housing in these local areas. Additionally, the ACCC's inquiries indicate that in each of these 7 local regions there is limited-to-no overlap between Stockland and/or Supalai and Lendlease, sufficient alternative MPC developers available to effectively constrain Stockland and SSRCP, and/or low combined market shares.

Issue unlikely to raise concerns: acquisition of land

142. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in any market for the acquisition of land (or development rights pursuant to a project development agreement) for residential development, whether on a national, state, or regional basis. The ACCC has not reached a concluded view on the geographic scope of the market but does not consider it is necessary to do so for the purposes of its competition assessment.
143. Market participants raised concerns that it is difficult for smaller developers to compete for land and that the proposed acquisition may strengthen Stockland's ability to compete for land suitable for large scale development. However, further market feedback has indicated that the acquisition of land is generally highly competitive with numerous large and small developers actively seeking landholdings, particularly as opportunities to acquire new land suitable for MPC development is limited.
144. The ACCC's preliminary view is that several large and small developers would continue to constrain Stockland and the proposed acquisition is not likely to have the effect of

³ This Statement of Issues refers to 11 local areas of interest (seven of which are unlikely to raise concerns). While SSRCP is proposing to acquire 12 Lendlease MPC projects, two of these are within North-West Perth.

substantially lessening competition in any market for the acquisition of land for residential development, regardless of whether it is a national, state, or regional market.

Issue unlikely to raise concerns: procurement of building and construction services

145. The ACCC's preliminary view is that the proposed acquisition is not likely to have the effect of substantially lessening competition in any market for the procurement of building and construction services for MPC developments, whether on a national, state, or regional basis. The ACCC has not reached a concluded view on the geographic scope of the market but does not consider it is necessary to do so for the purposes of its competition assessment.
146. Market participants have not raised strong concerns and indicated that Stockland and Lendlease do not typically procure residential building services, with purchasers being more likely to separately procure building and construction services (including as part of a 'house and land' package). Additionally, the ACCC understands that Stockland and Lendlease account for a small proportion of demand for the procurement of civil works construction services for MPC development (e.g., roads, sewage, water, public parks) and suppliers may have a large degree of bargaining power.

ACCC's future steps

147. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than 5.00pm (AEST) on **18 July 2024**.
148. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
149. The ACCC intends to publicly announce its final view by **12 September 2024**. However the anticipated timeline may change in line with the [Informal Merger Review Process Guidelines](#). A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.